CLOSING STATEMENT

Garnet Cottages | Seattle, WA

Property	Garnet Cottages
Settlement Date	February 18, 2019
Buyer	Beacon Hollow Investors
Seller	Redfern Holdings LP
Sale Price	$41,080,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$41,080,000			
Earnest money deposit		$51,749	$51,749	
Real estate tax proration	$219,555			$219,555
Rent proration			$146,801	
Security deposits assumed	$154,442	$154,442		
Prepaid rents			$378,011	$378,011
Owner's title policy premium	$139,149			
Lender's title policy premium		$109,415	$109,415	
Escrow fee	$91,981			$91,981
Recording fees			$189,137	
Transfer tax	$34,421	$34,421		
Survey			$102,299	$102,299
Legal fees - Buyer	$189,387			
Legal fees - Seller		$221,337	$221,337	
Broker commission	$142,268			$142,268
Loan origination fee			$381,825	
Lender legal	$131,724	$131,724		
Appraisal fee			$307,805	$307,805
Environmental report	$406,062			
Property condition report		$19,320	$19,320	
Tax escrow deposit	$278,037			$278,037
Insurance escrow deposit			$290,139	
Replacement reserve deposit	$399,913	$399,913		
Utility deposits			$43,139	$43,139

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$41,080,000			
Legal fees - Seller		$109,189	$109,189	
Broker commission	$228,080			$228,080
Loan origination fee			$346,264	
Lender legal	$207,289	$207,289		
Appraisal fee			$184,058	$184,058
Environmental report	$284,566			
Property condition report		$273,102	$273,102	
Tax escrow deposit	$261,915			$261,915
Insurance escrow deposit			$375,846	
Replacement reserve deposit	$211,359	$211,359		
Utility deposits			$288,556	$288,556
Assumed vendor contracts credit	$135,539			
Tenant improvement credit		$95,088	$95,088	
Courier / wire fees	$188,350			$188,350
Municipal certificates			$156,487	
Purchase price	$32,870	$32,870		
Earnest money deposit			$373,900	$373,900
Real estate tax proration	$78,281			
Rent proration		$360,185	$360,185	
Security deposits assumed	$209,514			$209,514
Prepaid rents			$195,902	
Owner's title policy premium	$137,540	$137,540		
Lender's title policy premium			$340,709	$340,709
Escrow fee	$138,101			
Recording fees		$132,303	$132,303	
Transfer tax	$379,563			$379,563
Survey			$79,577	

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Operating Performance

Effective gross income for the trailing period was $422,000, representing a 10.4% increase over the prior year. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $336,000 per home, and the in-house maintenance team handles most work orders within 35 days.

Valuation Discussion

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $383,000 or approximately 38.55 per square foot, with real estate taxes representing the largest line item. Homes average 1,161 square feet with average monthly rent of $2,161. Debt service coverage ratio was 7.38x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses.

Homes average 1,161 square feet with average monthly rent of $2,161. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Effective gross income for the trailing period was $22,000, representing a 12.3% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $433,000 per home, and the in-house maintenance team handles most work orders within 36 days. Effective gross income for the trailing period was $321,000, representing a 12.4% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period.

Debt service coverage ratio was 6.83x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $124,000, representing a 4.7% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,161 square feet with average monthly rent of $2,161.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$41,080,000			
Tenant improvement credit		$156,442	$156,442	
Courier / wire fees	$235,344			$235,344
Municipal certificates			$342,310	
Purchase price	$200,161	$200,161		
Earnest money deposit			$11,580	$11,580
Real estate tax proration	$207,452			
Rent proration		$45,528	$45,528	
Security deposits assumed	$255,876			$255,876
Prepaid rents			$329,778	
Owner's title policy premium	$140,891	$140,891		
Lender's title policy premium			$341,668	$341,668
Escrow fee	$125,952			
Recording fees		$401,051	$401,051	
Transfer tax	$147,575			$147,575
Survey			$185,055	
Legal fees - Buyer	$141,344	$141,344		
Legal fees - Seller			$311,100	$311,100
Broker commission	$315,019			
Loan origination fee		$51,123	$51,123	
Lender legal	$133,817			$133,817
Appraisal fee			$138,210	
Environmental report	$344,545	$344,545		
Property condition report			$316,908	$316,908
Tax escrow deposit	$16,410			
Insurance escrow deposit		$107,881	$107,881	
Replacement reserve deposit	$20,316			$20,316
Utility deposits			$238,455	

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Financial Analysis

Debt service coverage ratio was 8.15x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $180,000, representing a 11.9% increase over the prior year. Homes average 1,161 square feet with average monthly rent of $2,161. Turn costs average $232,000 per home, and the in-house maintenance team handles most work orders within 27 days. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period.

The going-in capitalization rate of 5.07% reflects the in-place income and the stabilized occupancy assumption. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $210,000 per home, and the in-house maintenance team handles most work orders within 9 days. Homes average 1,161 square feet with average monthly rent of $2,161. Debt service coverage ratio was 8.09x on a trailing basis against a covenant minimum of 1.20x.

Financial Analysis

Homes average 1,161 square feet with average monthly rent of $2,161. Effective gross income for the trailing period was $36,000, representing a 5.9% increase over the prior year. The going-in capitalization rate of 7.94% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 5.99x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $23,000, representing a 6.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period.

Income and Expense Review

The going-in capitalization rate of 6.18% reflects the in-place income and the stabilized occupancy assumption. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Operating expenses totaled $333,000 or approximately 12.05 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Effective gross income for the trailing period was $174,000, representing a 9.6% increase over the prior year. Homes average 1,161 square feet with average monthly rent of $2,161. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$41,080,000			
Recording fees		$379,429	$379,429	
Transfer tax	$219,282			$219,282
Survey			$129,073	
Legal fees - Buyer	$205,606	$205,606		
Legal fees - Seller			$124,922	$124,922
Broker commission	$326,921			
Loan origination fee		$144,043	$144,043	
Lender legal	$272,125			$272,125
Appraisal fee			$403,935	
Environmental report	$395,425	$395,425		
Property condition report			$194,176	$194,176
Tax escrow deposit	$162,190			
Insurance escrow deposit		$64,916	$64,916	
Replacement reserve deposit	$274,651			$274,651
Utility deposits			$138,055	
Assumed vendor contracts credit	$34,202	$34,202		
Tenant improvement credit			$90,008	$90,008
Courier / wire fees	$242,228			
Municipal certificates		$292,183	$292,183	
Purchase price	$159,796			$159,796
Earnest money deposit			$22,666	
Real estate tax proration	$223,529	$223,529		
Rent proration			$330,950	$330,950
Security deposits assumed	$261,355			
Prepaid rents		$199,331	$199,331	
Owner's title policy premium	$190,508			$190,508
Lender's title policy premium			$17,223	

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Income and Expense Review

The going-in capitalization rate of 6.26% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $418,000, representing a 2.9% increase over the prior year. Turn costs average $369,000 per home, and the in-house maintenance team handles most work orders within 30 days.

Effective gross income for the trailing period was $354,000, representing a 9.5% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Turn costs average $201,000 per home, and the in-house maintenance team handles most work orders within 9 days. Debt service coverage ratio was 6.57x on a trailing basis against a covenant minimum of 1.20x.

Valuation Discussion

Effective gross income for the trailing period was $198,000, representing a 10.8% increase over the prior year. Homes average 1,161 square feet with average monthly rent of $2,161. Debt service coverage ratio was 6.40x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $177,000 per home, and the in-house maintenance team handles most work orders within 13 days. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period.

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 7.09% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $203,000 or approximately 13.32 per square foot, with real estate taxes representing the largest line item. Turn costs average $291,000 per home, and the in-house maintenance team handles most work orders within 37 days.

Income and Expense Review

Operating expenses totaled $468,000 or approximately 25.72 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 6.12% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Turn costs average $19,000 per home, and the in-house maintenance team handles most work orders within 16 days. Operating expenses totaled $163,000 or approximately 23.91 per square foot, with real estate taxes representing the largest line item.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$41,080,000			
Insurance escrow deposit		$359,898	$359,898	
Replacement reserve deposit	$96,805			$96,805
Utility deposits			$318,149	
Assumed vendor contracts credit	$314,601	$314,601		
Tenant improvement credit			$173,587	$173,587
Courier / wire fees	$165,116			
Municipal certificates		$125,317	$125,317	
Purchase price	$151,559			$151,559
Earnest money deposit			$65,626	
Real estate tax proration	$46,759	$46,759		
Rent proration			$152,757	$152,757
Security deposits assumed	$40,397			
Prepaid rents		$186,746	$186,746	
Owner's title policy premium	$97,545			$97,545
Lender's title policy premium			$366,143	
Escrow fee	$60,979	$60,979		
Recording fees			$274,323	$274,323
Transfer tax	$74,964			
Survey		$244,938	$244,938	
Legal fees - Buyer	$75,649			$75,649
Legal fees - Seller			$354,113	
Broker commission	$219,694	$219,694		
Loan origination fee			$344,933	$344,933
Lender legal	$227,708			
Appraisal fee		$407,695	$407,695	
Environmental report	$41,228			$41,228
Property condition report			$268,356	

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Valuation Discussion

Effective gross income for the trailing period was $269,000, representing a 13.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Turn costs average $469,000 per home, and the in-house maintenance team handles most work orders within 44 days.

Debt service coverage ratio was 6.15x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $272,000, representing a 4.6% increase over the prior year. The going-in capitalization rate of 5.98% reflects the in-place income and the stabilized occupancy assumption. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,161 square feet with average monthly rent of $2,161. Operating expenses totaled $78,000 or approximately 24.70 per square foot, with real estate taxes representing the largest line item.

Valuation Discussion

Turn costs average $327,000 per home, and the in-house maintenance team handles most work orders within 4 days. Homes average 1,161 square feet with average monthly rent of $2,161. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Operating expenses totaled $242,000 or approximately 19.06 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,161 square feet with average monthly rent of $2,161. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses.

Operating Performance

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $421,000 or approximately 23.46 per square foot, with real estate taxes representing the largest line item. Turn costs average $85,000 per home, and the in-house maintenance team handles most work orders within 16 days. Effective gross income for the trailing period was $29,000, representing a 3.0% increase over the prior year. The going-in capitalization rate of 7.47% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $147,000, representing a 3.9% increase over the prior year. Operating expenses totaled $438,000 or approximately 19.60 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.02% reflects the in-place income and the stabilized occupancy assumption. Homes average 1,161 square feet with average monthly rent of $2,161. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Debt service coverage ratio was 5.39x on a trailing basis against a covenant minimum of 1.20x.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$41,080,000			
Prepaid rents		$321,213	$321,213	
Owner's title policy premium	$185,053			$185,053
Lender's title policy premium			$173,396	
Escrow fee	$321,689	$321,689		
Recording fees			$187,839	$187,839
Transfer tax	$375,362			
Survey		$38,848	$38,848	
Legal fees - Buyer	$249,975			$249,975
Legal fees - Seller			$194,160	
Broker commission	$106,520	$106,520		
Loan origination fee			$280,094	$280,094
Lender legal	$289,498			
Appraisal fee		$179,220	$179,220	
Environmental report	$104,390			$104,390
Property condition report			$263,305	
Tax escrow deposit	$279,580	$279,580		
Insurance escrow deposit			$155,971	$155,971
Replacement reserve deposit	$127,318			
Utility deposits		$51,953	$51,953	
Assumed vendor contracts credit	$286,647			$286,647
Tenant improvement credit			$141,203	
Courier / wire fees	$247,663	$247,663		
Municipal certificates			$199,314	$199,314
Purchase price	$374,741			
Earnest money deposit		$33,552	$33,552	
Real estate tax proration	$199,398			$199,398
Rent proration			$81,377	

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Valuation Discussion

Effective gross income for the trailing period was $20,000, representing a 13.8% increase over the prior year. Homes average 1,161 square feet with average monthly rent of $2,161. Turn costs average $296,000 per home, and the in-house maintenance team handles most work orders within 38 days. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period.

Effective gross income for the trailing period was $330,000, representing a 7.7% increase over the prior year. Operating expenses totaled $342,000 or approximately 30.08 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Debt service coverage ratio was 6.76x on a trailing basis against a covenant minimum of 1.20x. Homes average 1,161 square feet with average monthly rent of $2,161.

Valuation Discussion

Debt service coverage ratio was 5.49x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $328,000, representing a 2.8% increase over the prior year. Homes average 1,161 square feet with average monthly rent of $2,161. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Debt service coverage ratio was 7.50x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $386,000 per home, and the in-house maintenance team handles most work orders within 41 days. Homes average 1,161 square feet with average monthly rent of $2,161. The going-in capitalization rate of 7.40% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Operating expenses totaled $356,000 or approximately 31.85 per square foot, with real estate taxes representing the largest line item.

Financial Analysis

Debt service coverage ratio was 6.45x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.64% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $19,000 per home, and the in-house maintenance team handles most work orders within 44 days. Operating expenses totaled $297,000 or approximately 9.66 per square foot, with real estate taxes representing the largest line item.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Operating expenses totaled $381,000 or approximately 20.30 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.09x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $424,000, representing a 4.8% increase over the prior year.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Garnet Cottages Owner LLC

By: Grace Jackson Title: Manager Date: 02/18/2019

_____

Grace Young

By: Jerome Garcia Title: Managing Member Date: 02/18/2019

Exhibit A - Property

Garnet Cottages, 9208 Market Court, Seattle, WA 24878. Parcel containing approximately 25.76 acres, together with all improvements thereon.

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